

(1957), Sanderson (1963) and Chang (1931). In all these works, the subject of "Marx and State" is considered from the viewpoint of the 'state as an institution of all classes societies' rather than the 'specifically capitalist nature of the state and its limited economic functions'.

6. The concept of 'relative autonomy of capitalist state' implies that "the capitalist state ..[is].. 'relatively autonomous' both from the economic structures of capitalist societies or 'social formations', and from the politically dominant classes in these social formations. "(Gough, 1979, p. 155)

7. For reviews of Marxist theories of the state, see Gold, et al. (1975), Jessop (1977), Fine and Harris (1967A), Petras (1978) and Gough (1979).

8. Jessop (1977, p. 355). He also suggest that "Bukharin... treats society as a system of unstable equilibrium inside which the state acts as a 'regulator' and Gramsci, albeit from a far less mechanistic position, adopts more or less the same argument on several occasions. (Bukharin, 1969, p. 150-154 and passim; Gramsci, 1971, pp. 206-276). (Jessop, 1977, p. 355).

9. For the neo-Richardian approach see, Boddy and Crotty (1974), Glyn and Sutcliffe (1972) and Gough (1975) and (1979). The 'Fiscal Crisis of State' approach was first developed by O'Connor (1973). For a critique and review of his arguments, see Mosley (1978) and (1979).

10. The economic instance in Poulantzas, and thereby his usage of LTV, remains in the Weberian paradigm. Hirst's general evaluation in this respect is also applicable to Poulantzas: "Weber is not concerned with the economic effects of economic relations. Rather, the function of the sociological categories of economic action is to conceptualize economic behavior as a form of social action." (Hirst, 1976, p. 91).

11. While Gintis and Bowles (1982A) is influenced by both these approaches, its emphasis on the legitimization function of the state, which leads to the formation of the 'Liberal Democratic' state, makes their analysis closer to the fiscal crisis approach.

Chapter III

Productive and Unproductive Labor and State within the Circuit of Capital

The underlying premises of this thesis is that the classification of the state revenues and expenditures is an essential element of the analysis of the economic activities of the capitalist state. Moreover, such a classification is, at the same time, a necessary step for understanding the impact of the state's economic activities on the working class and the bourgeoisie. To put it differently, an analysis of the role of the state in the distribution process vis a vis substitute workers and capitalists requires an answer to the question: What does each class pay and what do they receive in return in their relations with the capitalist state? In this study, the analysis of the role of the state in relation to the capitalist class will not be undertaken, while that of the state with regard to workers will be dealt with, both in terms of the new effect of taxation and state expenditures on the share of the working class in total value-added and also in terms of possible changes in the rate of surplus-value due to the state's distributive activities.

In order to empirically deal with these issues, we must first establish a theoretical framework which will enable us to properly concretize state revenues and expenditures and also to calculate the rate of surplus-

value. Such a theoretical framework, in my opinion, has two fundamental dimensions. The first and most significant is a clear set of criteria for distinguishing productive and unproductive labor (PUPL henceforth), while the second is the ability to situate the distributive activities of the state within the circuit of capital. The PUPL criteria need to be developed for two reasons: First, as an empirical framework in which wage funds can be classified as variable capital and surplus-value, and second, to enable us to classify state revenues and expenditures which are respectively collected out of such wage funds and contributed to them.

In the second part of this chapter the significance of the distinction of PUPL is discussed both in general terms regarding the capital accumulation process and also in specific terms within our framework regarding the classification of wage funds and the calculation of rate of surplus value. In this second part, as a necessary theoretical basis for the set of criteria for the distinction of PUPL fundamental human activities, production, distribution, social consumption and personal consumption are clarified.¹ Then, Marx's own position on the distinction of PUPL is presented in the light of which some debatable issue in modern discussions of PUPL are reexamined, especially in relation to the production and consumption of military goods.² In

the third part, the distributive activities of the state are situated within the circuit of capital and schematically presented as sub-circuits. In the last section, the theoretical elements developed in the second and third parts are put together and related to our empirical investigations in Chapter IV.

A.1. Significance of the Distinction of PUPL

Capitalism is essentially an accumulation process in which the self-expansion of value takes place through the continuous production of surplus-value and its reconversion to capital. It is a process of self-expansion of value since the goal of the accumulation process is not only the maintenance of the previously produced value, but also the creation and later productive reinvestment of surplus-value. However, in order to realize this social process, capital has to be continuously exchanged with a certain kind of labor which can produce surplus-value. So, in this sense "the distinction between PUPL is vital for accumulation since only the exchange for productive labor can satisfy one of the conditions for the reconversion of surplus-value into capital" (Marx, 1973, p. 1048). Therefore, at this level of generality, the distinction of PUPL can be seen as an important theoretical element of Marx's analysis of the accumulation process for which the exchange of productive labor is one of the necessary (but not sufficient) conditions. While productive labor

can be perceived as an essential activity for the production of surplus-value, unproductive labor "constitute(s) a reduction of the surplus-value that is available for reinvestment as capital" (Yaffe, 1973, p. 191). The fact that increasing a proportion of unproductive labor represents a reduction in profitable investment implies that the distribution of PUPL also plays a major role in the analysis of capitalist crisis. Specifically, within the falling rate of profit framework, ceteris paribus, an increasing tendency of unproductive labor means a decreasing effective rate of profit.

Mandel points out that "(a) precise definition of a productive labor under capitalism is not only of theoretical importance. It is also has major implications for social bookkeeping (calculation in value terms of the national income and significantly affects our analysis of social classes and the political conclusions we draw from it" (Mandel, 1981, p. 46) Being in agreement with Mandel's position on the significance of the distinction between PUPL, let us illustrate the relevance of such a distinction first in our analysis of the distributive role of the capitalist state and then for the calculation of the rate of surplus-value.

As indicated earlier, the recent discussions on the relative autonomy of the state and its contradictory

nature must be considered as significant theoretical developments in Marxist theories of the state. However, there is a changing emphasis on the theoretical and operational role of the distinction of PUPL in these discussions. In my opinion, an examination of the limits and contradictory nature of state intervention in capitalist economies requires a conceptual framework based on the PUPL distinction. Only when such a framework is satisfactorily developed, an identification of the specific sources of the state revenues funded from variable capital and surplus-value can be both theoretically and empirically achieved. On the expenditure side as well the distinction is necessary. The impact of distributive activities on the accumulation process with regard to the capitalist and the working class as a whole can then be properly analyzed. However, as stated earlier, the relationship between the state and the capitalist class will not be dealt with here, the reproduction of the working class with some reference to the so-called welfare state and social-wage positions will be tackled in later chapters.

Regarding the calculation of the rate of surplus-value, the distinction between PUPL also plays a crucial role. Since the rate of surplus-value is the ratio of surplus-value to variable capital, its components do not directly correspond to those categories such as profit and wage, in the NIPA framework. Surplus-value in

Marxian terminology consists not only of money-forms of surplus-value, i.e., rent and interest, but also of the wages of unproductive laborers. Variable capital, on the other hand, includes only the wages of productive workers who exchange their labor-power against capital and produce surplus-value. Consequently, any attempt to calculate the rate of surplus-value which is to be consistent with fundamental Marxist categories, such as variable capital and surplus-value, must carefully take into consideration the distinction between PUPL.

A.2. Reconstruction of the PUPL Distinction

As mentioned above, there is no general theoretical agreement among Marxists on the distinction between PUPL. There is rather, in my opinion, an overall confusion which I shall examine later. Never Nevertheless, I can identify the source of the confusion here as a difference in interpretation of some of the categories used in the definitional criteria for PUPL. Most of the interpretations aim at a clearer understanding of the distinction but end up with sets of criteria with no objective operational content whatsoever. This conceptual lack of clarity manifests itself in various suggested criteria, which are all presented as crucial elements for the PUPL distinction, such as the distinction between necessary and unnecessary activities; between intrinsic qualities of different use-values, i.e., morally bad commodities (weapons,

etc.) and good commodities (medicine, etc.); or between physical and non-physical commodities. i.e., goods and services. Obviously, the effects of conceptual confusion can be seen also at the level of application. Some well-known examples are the discussions concerning the applicability of the PUPL Distinction as a criterion to identify those segments of wage and salary earners which constitute the working-class or to determine the existence of exploitation in the process of domestic labor.

The reason behind this confusion on the issue is mostly due to different (and mistaken) interpretations of the fundamental categories used in the following definitional criterion of PUPL: "PL is the labor that produces surplus-value." Concretely speaking, a starting point of this discussion should be a clear understanding of concepts such as 'labor' (hence non-labor), 'production' (hence 'distribution', 'circulation', 'consumption' -- both 'personal' and 'productive')--and 'surplus-value' (value) which are clearly defined in Marx, though some, e.g., surplus-value, are only defined for a specific historical period.

In order to identify PL, hence also UPL, first the basic set of activities which are applicable to all modes of production should be discussed. Then, within such activities, first, labor and non-labor activities

and second, as part of labor activities, PL in capitalist society should be distinguished. Basic sets of activities, which all societies experience in one way or another, are the activities of production, distribution, personal consumption, social reproduction and maintenance. Production, in its more general sense, is the creation or transformation of objective properties of use-values by means of purposeful human activity. Although this is common in all modes of production, the very purpose of production changes over time since "all production is appropriation of nature on the part of an individual with and through a definite form of society" (Marx, 1973, p. 87). Hence the abstract conceptions of the general conditions of all production activities should be specified regarding historical stages of social formations. Let us systematically look at the specificities that production activity gains in different modes of production. In primitive communist societies, the purpose of production is the production of use values for personal and/or social use, while in other pre-capitalist societies production for exchanges takes place alongside production for use. On the other hand, in capitalist societies production is predominantly for the purpose of exchange; production for use becomes a negligible human activity in remote rural areas. Put differently, the dominant and distinguishing features of primitive and

capitalist societies in the sphere of production are the production of use values in the former and that of exchange values and surplus-values in the latter, while in other pre-capitalist societies production of use-values and that of values can exist hand in hand. This transformation of the purpose of production is summarized in the following table.

Table I

<u>Historical Stages of Human Societies</u>	<u>The Nature of Production Activities</u>
I. Primitive Communism	-- Production of Use-Values for Personal and Social Use.
II. Other Pre-Capitalist Societies	-- Production of Use-Values for Personal Use. -- Production of Values for Exchange.
III. Capitalism	-- Production of Values and Surplus-Values for Exchange -- Negligible Production of Use-Values (some farmers, etc.)

Obviously, throughout there various stages of human history all human activities which involve production are labor activities as such. To be specific, such activities can be termed production labor. However, labor activities itself does not consist of only activities in the sphere of production. There are two more areas in which human beings engage in labor activity: the spheres of distribution and of social reproduction and maintenance. In every society in which there is